NOTE 20

A harrowing example of this kind is furnished by the "Hudson Towers" at 72d Street and West End Avenue in New York City. This 27-story building was erected as a hotel, sanitarium, and hospital, catering to patients and their families. It was thus a specialized type of structure. The land actually cost $395,000, and engineers estimated that the building would cost $1,300,000 to construct. In order to facilitate the sale of $1,650,000 of first-mortgage bonds, the land and building combined were "appraised" at $2,600,000, thus making the bonds "legal for trust funds" under the New York law. This occurred in 1923. Subsequently the building passed through various hands by sale and resale, prior to its completion, and in 1927 second-mortgage bonds amounting to $1,150,000 were sold to the public.

The project was never completed; and in August 1932 the property was sold for $200,000 on foreclosure of the first mortgage. The outcome from the standpoint of the nonassenting first-mortgage bondholder is indicated by the announcement of the Irving Trust Co. in June 1933 that it was prepared to pay $8.14 on account of each $1,000 principal amount of undeposited first-mortgage bonds. Thus, less than 1 cent on the dollar was realized on liquidation. *Depositing* bondholders received only $3.84 per $1,000 bond, after deduction of protective committee expenses, etc.

NOTE 21

Note the following comment by the Industrial Securities Committee of the Investment Bankers Association of America in its 1928 report (*Proceedings of the Investment Bankers Association of America*, 1928, p. 91).

"Several circulars were examined in which an offering of preferred stock was made based upon a business housed in a building on leasehold property. The reference to the fact of a leasehold rental being a prior charge was made in very small type and in a most inconspicuous way. The investor glancing at the circular could easily derive the impression that the dividend on the preferred stock was a first charge on the earnings. Unfortunately, investors, as a rule, do not read circulars carefully, and the average investor would scarcely have noticed the mention made of the leasehold charge. In our opinion these figures should be set forth in just the same manner in which an interest charge on bonds would be placed."

The argument is equally valid, of course, in the case of a bond issue which is preceded by leasehold rental charges.

A leading example of a leasehold issue which encountered difficulty on account of the ground rental is presented by the Waldorf-Astoria Corp. (New York) First Mortgage Leasehold 7s, due in 1954.